BREAKWAVE ADVISORS

Tanker Shipping

Bi-Weekly Industry Report

July 1, 2025

- **VLCC Rates Face Reality Amid De-escalation, Lack of Disruptions –** Following weeks of geopolitical tensions, the VLCC market is entering a **phase of normalization** after the landmark ceasefire agreement between Iran and Israel. Crucially, the Straits of Hormuz remain open, and the latest AIS tracking data shows a clear uptick in vessel transits, signaling **improved confidence** and operational continuity through this strategic chokepoint. Previously and ahead of the intense fighting, owners had diverted tonnage or held back in anticipation of further escalation. However, such hesitation is now subsiding. **Eastbound rates**, which had reached triple-digit levels, eventually **fell** by nearly **50%** almost overnight, reflecting the easing of regional risk and a thinning of second-decade July inquiries. Some charterers have also re-let tonnage secured earlier at elevated levels, further weakening sentiment. In the West African market, rates are also adjusting downward, though the decline is less pronounced. Looking ahead, the **direction of VLCC rates** will likely be shaped by a combination of peace-driven **risk repricing, OPEC+** production policies, and rate **normalization** following speculative highs. Key watchpoints include owner resistance near current rate floors, the potential replenishment of July stems, and continued monitoring of vessel transits through the Strait of Hormuz for signs of sustained stability. Interestingly, toward the end of June and despite the typical summer seasonality that usually dampens demand projections, **Asian oil appetite** reached **relatively high levels**. This surge has created a supportive pillar for a potential tanker market rebalancing, even as vessel supply remains a key negative influence.

- **Oil Prices Drop Sharply but Stabilize Above Pre-Attack Levels –** The sharp and short US military operation in Iran and the very **limited response,** has brought significant selling in the oil markets amid no oil flow disruption and scattered but unsubstantiated rumors about Iran action related to Persian Gulf oil flows. As a result, a **large portion of the embedded geopolitical premium** in oil prices is now gone. However, despite such a sharp decline, **oil** prices remain **above the levels** seen **prior** to the military conflict in Iran. As the market awaits more oil supply coming from OPEC+, one wonders whether **oil demand** is actually **not as soft** as previously thought. Indeed, recent economic numbers out of China point to more stability and analysts are **questioning** the need for imminent **stimulus**. In addition, inventories continue to draw and although there are structural reasons that might argue for lower-than-normal **inventories**, it is notable that levels sit at the **lower end of the historical range**. We believe there is still some room for decline when it comes to oil prices, but we are a bit **more constructive** than previously on the outlook for oil demand for the remainder of the year.

- **Our Long-term View –** The tanker market is recovering from a long period of staggered rates as the growth in new vessel supply shrinks while oil demand remains elevated in line with the global economy. A historically low orderbook combined with favorable shifting trade patterns should continue to support increased spot rate volatility, which combined with the ongoing geopolitical turmoil, should sustain freight rates in the medium to long term.

Short-term Indicators	
Momentum:	Neutral
Sentiment:	Positive
Fundamentals:	Positive

Breakwave Tanker Futures Index:	**1089**
30D: -0.7%	↓
YTD: 0.6%	↑
YOY: -4.7%	↓
VLCC Middle East-Asia Spot Rates:	**10.70**
30D: -3.2%	↓
YTD: 19.2%	↑
YOY: -0.6%	↓

Reuters:	BWET.K
Bloomberg:	BWET US
Exchange:	NYSE

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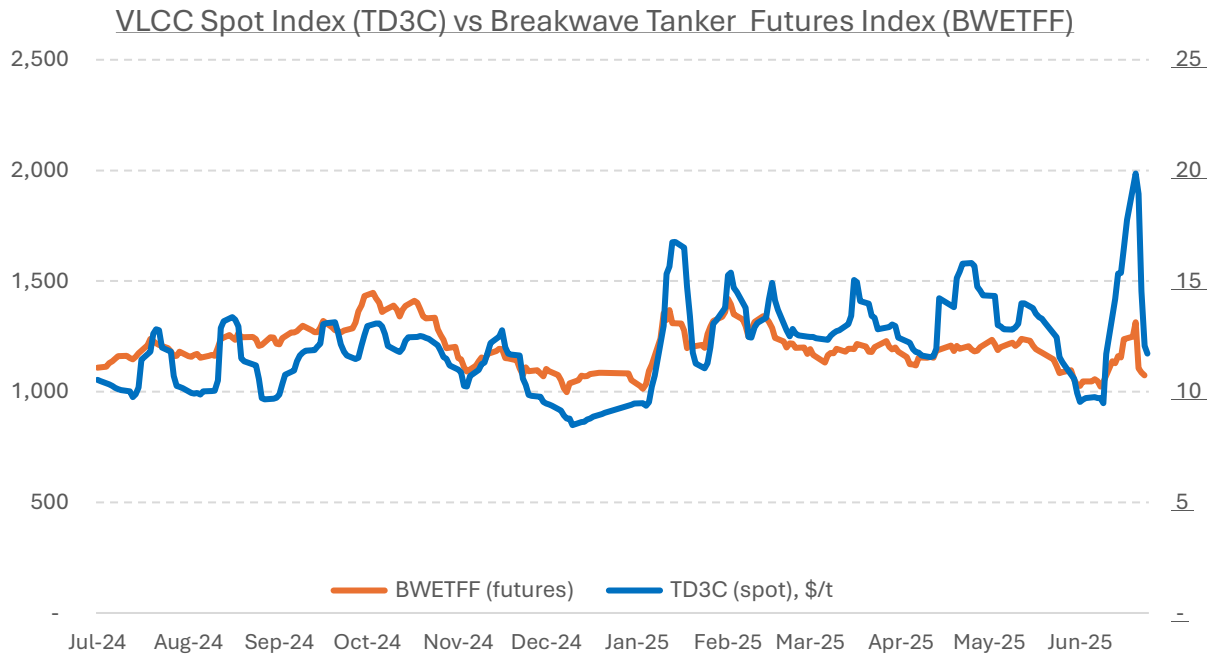

The Baltic TD3C Index measures the spot rate in USD per ton for Very Large Crude Carriers (VLLCC) operating in the Middle East to Asia route. The Breakwave Tanker Futures Index (BDRYFF) is designed to track freight futures contracts with a sector weighting of 90% VLCC TD3C and 10% Suezmax TD20 and a weighted average maturity of approximately 50-70 days.

Tanker Fundamentals

Demand	YTD	YOY
World Oil Demand	105,153 kbpd	1.1%
Oil Supply, OPEC	27,540 kbpd	1.8%
Oil Supply, non-OPEC	72,375 kbpd	0.0%
OECD Total Crude Oil Stocks	1050.4 MMbls	-1.1%
US Crude Oil Exports	12.3 MMbls	-5.8%
China Oil Imports	229.9 MMbls	0.4%
Global Crude Oil Floating Storage	80.2 MMbls	-5.1%

Supply		
Tanker Fleet	700.8 mdwt	1.2%

Freight Rates		
VLCC Middle East-Asia, USD/ton	12.70	-13.4%
Suezmax West Africa-Europe, USD/ton	16.54	-19.3%

Note: *All numbers as of latest available; Imports/Exports/Production are YTD sums as of latest reported; Inventories/Fleet are weekly totals*
Sources: *Bloomberg, IEA, Clarksons and Breakwave Advisors*
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